EVENT STUDY · 109 CONTROL ACQUISITIONS BY TAIWAN-LISTED COMPANIES · JANUARY 2019 TO JUNE 2023

Taiwan acquirers gain 3.0% when they announce a deal, and larger deals gain more

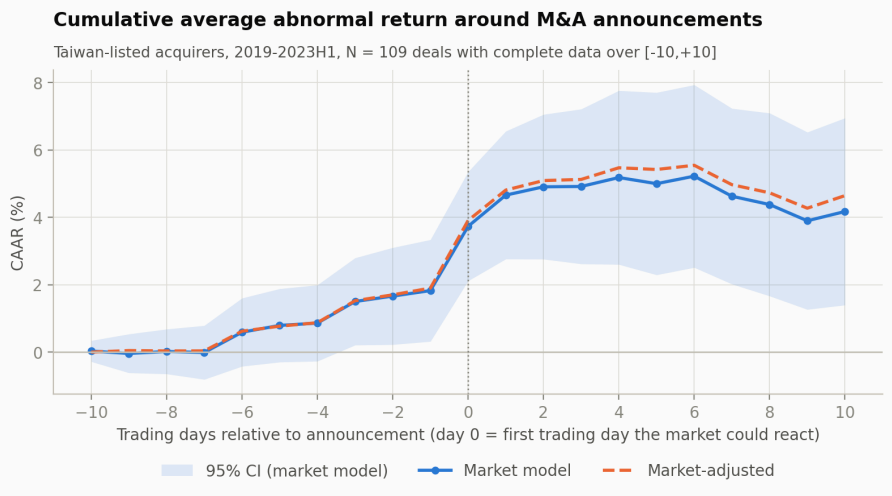
Over the three trading days around an acquisition announcement, the acquirer's share price beat its expected return by an average of 3.0%. The gain is larger when the deal is large relative to the acquirer. Payment method, cross-border status and industry overlap show no detectable difference.

+3.00%
Mean three-day abnormal return
95% confidence interval 1.64% to 4.36%

68 of 109
Acquirers rose on the announcement
Median return +1.51%

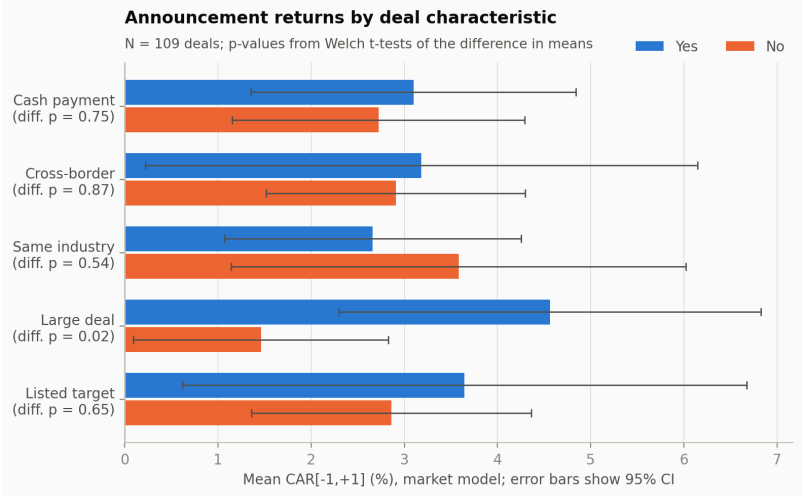
+1.26 pts
More return for a deal twice as large relative to the acquirer
p = 0.027, other deal features held constant

1 The reaction lands on day 0: +1.9% that day and +0.9% the next



Prices also drift up 1.8% over the ten days before the announcement.

2 Only relative deal size separates the groups: 4.6% against 1.5%



Large deal = above the median size, 6.3% of the acquirer's market value.

WHAT THE DATA SHOW

ROBUST **Announcements are rewarded.** The +3.00% average holds under four statistical tests, eight window-and-model combinations and eight sample cuts, where the mean stays between 2.7% and 3.2%.

MODERATE **Relative size is the one characteristic that tracks the reaction.** The estimate is positive in all 10 regression specifications and significant at 5% in 8. It keeps its size (1.28 points) but loses significance when 26 related-party deals are removed.

NO EVIDENCE **Payment method, geography and industry show no detectable difference.** Each gap is under 1 percentage point (p = 0.54 to 0.87). Only 29 deals were paid in stock or a mix, so a moderate effect cannot be ruled out.

WHAT THIS MEANS FOR A DEAL TEAM

Do not assume an announcement will cost the share price. The average market reaction in this sample is positive. It is not a guarantee: 41 of 109 acquirers fell.

Do not read the size effect as "bigger deals are better deals". Smaller deals barely move the stock (median +0.07%), so part of the gap is that a small deal is hard to see in the share price. Larger deals move it more, typically 4.5% against 1.7% in absolute terms, and mostly upward in this sample (post hoc check). Acquirers choose deal size, so this is an association, not evidence that enlarging a deal raises the return.

Deal labels do not predict the reaction. The five characteristics tested explain about 3% of the variation between deals. The rest lies in factors this dataset does not measure.

SCOPE, METHOD AND LIMITS

Sample. 378,883 exchange filings were screened to 250 candidate deals, each classified with an AI-assisted first pass and verified against the original filing. The 109 kept are first announcements by non-financial acquirers that crossed 50% ownership in a deal worth at least 1% of their market value.

Method. Market model estimated over trading days −150 to −31; day 0 is the first trading day the market could react. The main window, groupings and regression specification were set before results were seen.

Limits. Announcement returns measure what the market expects, not how the deal performs afterwards. The pre-announcement drift means the three-day window may understate the full reaction.

Abnormal return = the stock's actual return minus the return predicted from its usual relationship with the market. Source: author's analysis of TEJ data (MOPS material-information filings; daily returns adjusted for dividends and splits; total-return market index).

October 2026